Consolidated Balance Sheets

(In thousands of Canadian dollars)	**As at March 31, 2012**	As at March 31, 2011	As at December 31, 2011
	(Unaudited)	(Unaudited)	
ASSETS			
Current assets			
Cash and cash equivalents	**$ 42,070**	$ 51,847	$ 59,223
Accounts receivable (Note 4)	**47,670**	51,263	56,522
Note receivable (Note 4)	**51,910**	53,270	45,847
Inventories (Note 5)	**56,181**	52,107	60,048
Income and other taxes recoverable	**7,572**	6,591	2,162
Prepaid expenses and other assets	**3,244**	3,934	5,218
	$ 208,647	$ 219,012	$ 229,020
Property and equipment	**416,505**	383,814	425,944
Investment property	**9,546**	8,443	8,415
Other long-term assets	**4,460**	3,980	4,456
Deferred tax asset	**15,812**	10,264	17,917
Goodwill (Note 7)	**264,342**	261,590	266,013
Intangible assets (Note 8)	**12,814**	12,799	12,710
Total assets	**$ 932,126**	$ 899,902	$ 964,475
LIABILITIES AND SHAREHOLDERS' EQUITY			
Current liabilities			
Bank indebtedness	**$ 4,786**	$ –	$ 3,153
Accounts payable and accruals	**170,421**	178,925	185,811
Provisions (Note 9)	**14,140**	20,435	23,066
Due to Maple Leaf Foods Inc. (Note 14)	**3,650**	1,021	2,451
Dividends payable	**5,083**	1,525	5,083
Current portion of long-term debt	**2,567**	2,329	2,452
	$ 200,647	$ 204,235	$ 222,016
Long-term debt	**1,567**	1,652	1,634
Deferred tax liability	**18,607**	21,136	21,784
Employee benefits (Note 6)	**51,199**	36,291	50,434
Provisions (Note 9)	**5,046**	6,235	5,005
Other long-term liabilities	**–**	444	–
Total liabilities	**$ 277,066**	$ 269,993	$ 300,873
Shareholders' equity			
Share capital	**$ 142,965**	$ 142,965	$ 142,965
Retained earnings	**525,308**	507,635	530,852
Accumulated other comprehensive loss (Note 10)	**(13,213)**	(20,691)	(10,215)
Total shareholders' equity	**$ 655,060**	$ 629,909	$ 663,602
Total liabilities and shareholders' equity	**$ 932,126**	$ 899,902	$ 964,475

See accompanying Notes to the Unaudited Condensed Consolidated Interim Financial Statements

Consolidated Statements of Earnings (Loss)

Three months ended March 31 *(In thousands of Canadian dollars, except share amounts)* *(Unaudited)*	**2012**	2011
Sales	**$ 370,244**	$ 371,760
Cost of goods sold	**308,489**	299,417
Gross margin	**$ 61,755**	$ 72,343
Selling, general and administrative expenses	**52,994**	55,619
Earnings before the following:	**$ 8,761**	$ 16,724
Restructuring and other related costs (Note 9)	**(5,884)**	(20,050)
Other income (Note 12)	**22**	78
Earnings (loss) before interest and income taxes	**$ 2,899**	$ (3,248)
Interest expense (Note 13)	**437**	339
Earnings (loss) before income taxes	**$ 2,462**	$ (3,587)
Income taxes	**1,623**	(2,621)
Net earnings (loss)	**$ 839**	$ (966)
Earnings (loss) per share attributable to common shareholders Basic and diluted earnings (loss) per share	**$ 0.03**	$ (0.04)
Weighted average number of shares (millions)	**25.4**	25.4

See accompanying Notes to the Unaudited Condensed Consolidated Interim Financial Statements

Consolidated Statements of Comprehensive Loss

Three months ended March 31 *(In thousands of Canadian dollars)* *(Unaudited)*	**2012**	2011
Net earnings (loss)	**$ 839**	$ (966)
Other comprehensive loss		
Change in accumulated foreign currency translation adjustment	**(2,298)**	(5,490)
Change in unrealized gains and losses on cash flow hedges	**(700)**	(1,105)
Change in actuarial gains and losses	**(1,300)**	–
	$ (4,298)	$ (6,595)
Comprehensive loss	**$ (3,459)**	$ (7,561)

See accompanying Notes to the Unaudited Condensed Consolidated Interim Financial Statements

Consolidated Statements of Changes in Shareholders' Equity

(In thousands of Canadian dollars) (Unaudited)	**Share capital**	**Retained earnings**	**Total accumulated other comprehensive loss**	**Total shareholders' equity**
Balance at December 31, 2011	**$ 142,965**	**$ 530,852**	**$ (10,215)**	**$ 663,602**
Net earnings	**–**	**839**	**–**	**839**
Other comprehensive loss	**–**	**(1,300)**	**(2,998)**	**(4,298)**
Dividends declared ($0.20 per share)	**–**	**(5,083)**	**–**	**(5,083)**
Balance at March 31, 2012	**$ 142,965**	**$ 525,308**	**$ (13,213)**	**$ 655,060**

(In thousands of Canadian dollars) (Unaudited)	**Share capital**	**Retained earnings**	**Total accumulated other comprehensive loss**	**Total shareholders' equity**
Balance at December 31, 2010	$ 142,965	$ 510,126	$ (14,096)	$ 638,995
Net loss	–	(966)	–	(966)
Other comprehensive loss	–	–	(6,595)	(6,595)
Dividends declared ($0.06 per share)	–	(1,525)	–	(1,525)
Balance at March 31, 2011	$ 142,965	$ 507,635	$ (20,691)	$ 629,909

See accompanying Notes to the Unaudited Condensed Consolidated Interim Financial Statements

Consolidated Statements of Cash Flows

Three months ended March 31 *(In thousands of Canadian dollars)* *(Unaudited)*	**2012**	2011
CASH (USED IN) PROVIDED BY:		
Operating activities		
Net earnings (loss)	**$ 839**	$ (966)
Add (deduct) items not affecting cash:		
Depreciation and amortization	**11,349**	12,207
Deferred income taxes	**18**	(3,578)
Income tax current	**1,605**	559
Interest expense	**437**	339
(Gain) loss on sale of long-term assets	**(231)**	5
Change in provision for restructuring and other related costs	**(4,350)**	18,386
Decrease in pension liability	**(941)**	(333)
Net income taxes paid	**(6,555)**	(9,818)
Interest paid	**(359)**	(277)
Other	**150**	(461)
Change in non-cash operating working capital	**(7,427)**	(15,198)
Cash (used in) provided by operating activities	**$ (5,465)**	$ 865
Financing activities		
Dividends paid	**$ (5,083)**	$ (1,525)
Cash used in financing activities	**$ (5,083)**	$ (1,525)
Investing activities		
Additions to long-term assets	**$ (10,657)**	$ (29,858)
Capitalization of interest expense	**–**	(114)
Proceeds from sale of long-term assets	**2,419**	5,039
Other	**–**	816
Cash used in investing activities	**$ (8,238)**	$ (24,117)
Decrease in cash and cash equivalents	**$ (18,786)**	$ (24,777)
Net cash and cash equivalents, beginning of period	**56,070**	76,624
Net cash and cash equivalents, end of period	**$ 37,284**	$ 51,847
Net cash and cash equivalents is comprised of:		
Cash and cash equivalents	**$ 42,070**	$ 51,847
Bank indebtedness	**(4,786)**	–
Net cash and cash equivalents, end of period	**$ 37,284**	$ 51,847

See accompanying Notes to the Unaudited Condensed Consolidated Interim Financial Statements

Notes to the Condensed Consolidated Interim Financial Statements

Three months ended March 31, 2012 and 2011
(Tabular amounts in thousands of Canadian dollars, unless otherwise indicated)
(Unaudited)

1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or the "Company") and its subsidiaries operate in the baking industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. The address of the Company's registered office is 10 Four Seasons Place, Etobicoke, Ontario, M9B 6H7 Canada. The condensed consolidated interim financial statements of the Company as at and for the three months ended March 31, 2012 include the accounts of the Company and its subsidiaries. The Company's results are organized into two segments: Fresh Bakery and Frozen Bakery. Canada Bread is 90.0% owned by Maple Leaf Foods Inc. ("Maple Leaf").

2. BASIS OF PREPARATION

(a) Statement of Compliance

The unaudited condensed consolidated interim financial statements (or "consolidated financial statements") have been prepared in accordance with International Accounting Standards ("IAS") 34 *(Interim Financial Reporting)* as issued by the International Accounting Standards Board ("IASB") and using the accounting policies described therein, consistent with the Company's 2011 annual audited consolidated financial statements. The March 31, 2011 comparatives reflect the final International Financial Reporting Standards ("IFRS") transitional adjustments reflected in the Company's 2011 annual audited consolidated financial statements.

The consolidated financial statements were authorized for issue by the Board of Directors on May 1, 2012.

(b) Basis of Measurement

The consolidated financial statements have been prepared on the historical cost basis except for certain financial instruments and defined benefit plan assets and liabilities that are stated at fair value.

(c) Functional and Presentation Currency

The consolidated financial statements are presented in Canadian dollars, which is the Company's functional currency.

(d) Use of Estimates and Judgments

The preparation of consolidated financial statements in accordance with IFRS requires Management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual amounts may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected.

Information about significant areas of estimation uncertainty and critical judgments in applying accounting policies that have the most significant effect on the amounts recognized in the consolidated financial statements are included in the following notes:

Goodwill and Intangible Assets Valuation

The values associated with intangible assets and goodwill involve significant estimates and assumptions, including those with respect to future cash inflows and outflows, discount rates and asset lives. These estimates and assumptions could affect the Company's future results if the current estimates of future performance and fair values change. These determinations will affect the amount of amortization expense on definite life intangible assets recognized in future periods.

The Company assesses impairment by comparing the recoverable amount of an intangible asset or goodwill with its carrying value. The recoverable amount is defined as the higher of: (i) value in use; or (ii) fair value less cost to sell. The determination of the recoverable amount involves Management's judgment and estimation.

Allowance for Bad Debts

The Company establishes an appropriate provision for uncollectible or doubtful accounts. Estimates of recoverable amounts are based on Management's best estimate of a customer's ability to settle its obligations, and actual amounts

received may be affected by various factors, including changes in individual customer financial conditions. To the extent that actual losses on uncollectible accounts differ from those estimated in the Company's provision, both accounts receivable and net earnings will be affected.

Provisions for Inventory

Management makes estimates of the future customer demand for our products when establishing appropriate provisions for inventory. In making these estimates, Management considers product life of inventory and the profitability of recent sales of inventory. In many cases, product sold by the Company turns quickly and inventory on-hand values are low, thus reducing the risk of material misstatement. However, in the fresh business, code or "best before" dates are very important in the determination of realizable value, and inventory values are significant. Management ensures that systems are in place to highlight and properly value inventory that may be approaching code dates. To the extent that actual losses on inventory differ from those estimated, both inventory and net earnings will be affected.

Trade Merchandise Allowances and Other Trade Discounts

The Company provides for estimated payments to customers based on various trade programs and contracts that often include payments that are contingent upon attainment of specified sales volumes. Significant estimates used to determine these liabilities include the projected level of sales volume for the relevant period and the historical promotional expenditure rate compared to contracted rates. These arrangements are complex and there are a significant number of customers and products affected. Management has systems and processes in place to estimate and value these obligations. To the extent that payments on trade discounts differ from estimates of the related liability, both accrued liabilities and net earnings will be affected.

Employee Benefit Plans

The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected unit credit method prorated on service and Management's best estimate of expected plan investment performance, salary escalation, retirement ages of employees, mortality rates and expected health care costs. Discount rates used in actuarial calculations are based on long-term interest rates and can have a material effect on the amount of plan liabilities. Management employs external experts to advise the Company when deciding upon the appropriate estimates to use to value employee benefit plan obligations and expenses.

Income Taxes

Provisions for income taxes are based on domestic and international statutory income tax rates and the amount of income earned in the jurisdictions in which the Company operates. Significant judgment is required in determining income tax provisions and the recoverability of deferred tax assets. The calculation of current and deferred income tax balances requires Management to make estimates regarding the carrying values of assets and liabilities that include estimates of future cash flows and earnings related to such assets and liabilities, the interpretation of income tax legislation in the jurisdictions in which the Company operates, and the timing of reversal of temporary differences. The Company establishes additional provisions for income taxes when, despite Management's opinion that the Company's tax positions are fully supportable, there is sufficient complexity or uncertainty in the application of legislation that certain tax positions may be reassessed by tax authorities. The Company adjusts these additional accruals in light of changing facts and circumstances.

Provisions

The Company evaluates all provisions at each reporting date. These provisions can be significant and are prepared using estimates of the costs of future activities. In certain instances, Management may determine that these provisions are no longer required or that certain provisions are insufficient as new events occur or as additional information is obtained. Provisions are separately identified and disclosed in the Company's consolidated financial statements.

Depreciation and Amortization

The Company's property and equipment and definite life intangible assets are depreciated and amortized on a straight-line basis, taking into account the expected useful lives of the assets and residual values. Changes to these estimates may affect both the carrying value of these assets and net earnings.

3. SIGNIFICANT ACCOUNTING POLICIES

The consolidated financial statements should be read in conjunction with the Company's 2011 annual audited consolidated financial statements. These consolidated financial statements have been prepared in accordance with IFRS using the same accounting policies as were applied from the 2011 annual consolidated financial statements.

(a) Accounting Standards Adopted During the Period

During the quarter, the Company adopted certain amendments to IFRS 7 *Financial Instruments: Disclosures.* These amendments require disclosure of information that enables users of financial statements to understand the relationship between transferred financial assets that are not derecognized in their entirety and the associated liabilities; and to evaluate the nature of, and risks associated with, the Company's continuing involvement in derecognized financial assets. The adoption of these amendments to IFRS 7 did not have any impact on the disclosures of the Company for the period ended March 31, 2012.

(b) Recent Accounting Pronouncements

Financial Instruments – Recognition and Measurement

In October 2010, the IASB published amendments to IFRS 9 *Financial Instruments* (IFRS 9 (2010)) which provides added guidance on the classification and measurement of financial liabilities. IFRS 9 (2010) supersedes IFRS 9 (2009) and is effective for annual periods beginning on or after January 1, 2015, with early adoption permitted. For annual periods beginning before January 1, 2015, either IFRS 9 (2009) or IFRS 9 (2010) may be applied. The Company intends to adopt IFRS 9 (2010) in its financial statements for the annual period beginning on January 1, 2015. The extent of the impact of adoption of IFRS 9 (2010) has not yet been determined.

Financial Assets and Liabilities

In December 2011 the IASB published amendments to IAS 32 *Financial Instruments: Presentation* and issued new disclosure requirements in IFRS 7 *Financial Instruments: Disclosures*. The effective date for the amendments to IAS 32 is annual periods beginning on or after January 1, 2014. Certain of the amendments to IFRS 7 were adopted by the Company during the first quarter of 2012, as described in Note 3 section (a) above, the remainder of the amendments are to be adopted for annual periods beginning on or after January 1, 2013. These amendments are to be applied retrospectively.

The amendments to IAS 32 clarify when an entity has a legally enforceable right to offset as well as clarify, when a settlement mechanism provides for net settlement, or gross settlement that is equivalent to net settlement. The amendments to IFRS 7 contain new disclosure requirements for financial assets and liabilities that are offset in the statement of financial position or subject to master netting arrangements or similar arrangements. The Company intends to adopt the amendments to IFRS 7 in its financial statements for the annual period beginning on January 1, 2013, and the amendments to IAS 32 in its financial statements for the annual period beginning January 1, 2014. The extent of the impact of adoption of the amendments has not yet been determined.

Consolidated Financial Statements

In May 2011, the IASB issued IFRS 10 *Consolidated Financial Statements*. IFRS 10 replaces portions of IAS 27 *Consolidated and Separate Financial Statements*, that addresses consolidation, and supersedes SIC 12 *Consolidation – Special Purpose Entities* ("SPEs"), in its entirety. IFRS 10 provides a single model to be applied in the analysis of control of all investees, including entities that currently are SPEs in the scope of SIC 12. In addition, the consolidation procedures specified in IFRS 10 are carried forward substantially unmodified from IAS 27.

Joint Arrangements

In May 2011, the IASB issued IFRS 11 *Joint Arrangements*. IFRS 11 supersedes IAS 31 *Interest in Joint Ventures* and SIC 13 *Jointly Controlled Entities – Non-Monetary Contributions by Venturers*. Through an assessment of the rights and obligations in an arrangement, IFRS 11 establishes principles to determine the type of joint arrangement, which are classified as either joint operations or joint ventures, and provides guidance for financial reporting activities required by the entities that have an interest in arrangements that are controlled jointly. Investments in joint ventures are required to be accounted for using the equity method.

As a result of the issuance of IFRS 10 and IFRS 11, IAS 28 *Investments in Associates and Joint Ventures* has been amended to correspond to the guidance provided in IFRS 10 and IFRS 11.

Disclosure of Interests in Other Entities

In May 2011, the IASB issued IFRS 12 *Disclosure of Interests in Other Entities,* which contains disclosure requirements for companies that have interests in subsidiaries, joint arrangements, associates and unconsolidated structured entities.

IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 are all effective for annual periods beginning on or after January 1, 2013. Early adoption is permitted, so long as IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 are adopted at the same time. However, entities are permitted to incorporate any of the disclosure requirements in IFRS 12 into their financial statements without early adopting IFRS 10, IFRS 11 and the amendments to IAS 27 and IAS 28. The Company intends to adopt IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 in its consolidated financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 has not yet been determined.

Fair Value Measurement

In May 2011, the IASB published IFRS 13 *Fair Value Measurement*, which is effective prospectively for annual periods beginning on or after January 1, 2013. IFRS 13 replaces the fair value measurement guidance contained in individual IFRSs with a single source of fair value measurement guidance. The standard also establishes a framework for measuring fair value and sets out disclosure requirements for fair value measurements. The Company intends to adopt IFRS 13 prospectively in its financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of IFRS 13 has not yet been determined.

Presentation of Financial Statements

In June 2011, the IASB published amendments to IAS 1 *Presentation of Financial Statements: Presentation of Items of Other Comprehensive Income*, which are effective for annual periods beginning on or after July 1, 2012 and are to be applied retrospectively. Early adoption is permitted. The amendments require that a company present separately the items of other comprehensive income that may be reclassified to profit or loss in the future from those that would never be reclassified to profit or loss. The Company intends to adopt the amendments in its financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of the amendments has not yet been determined.

Employee Benefits

In June 2011, the IASB published an amended version of IAS 19 *Employee Benefits.* Adoption of the amendment is required for annual periods beginning on or after January 1, 2013, with early adoption permitted. The amendment is generally applied retrospectively with certain exceptions. The amendment requires the calculation of expected return on plan assets to be based on the rate used to discount the defined benefit obligation. The amendment also requires other additional disclosures. The Company intends to adopt the amendment in its financial statements for the annual period beginning on January 1, 2013. Where required, the Company will apply this amendment retrospectively. The extent of the impact of adoption of the amendments has not yet been determined.

4. ACCOUNTS RECEIVABLE AND NOTE RECEIVABLE

Under a revolving securitization program, the Company has sold certain of its trade accounts receivable to an entity owned by a financial institution. The Company retains servicing responsibilities and retains a very limited recourse obligation for delinquent receivables. At March 31, 2012, trade accounts receivable being serviced under this program amounted to $96.8 million (March 31, 2011: $96.8 million; December 31, 2011: $91.1 million). In return for the sale of its trade receivables, the Company received cash of $44.9 million (March 31, 2011: $43.5 million; December 31, 2011: $45.3 million) and a note receivable in the amount of $51.9 million (March 31, 2011: $53.3 million; December 31, 2011: $45.8 million). The note receivable is non-interest bearing and is due on the settlement dates of the securitized accounts receivable.

The Company previously reported $0.5 million of accounts receivable on March 31, 2011, which should have been recorded as note receivable in an equivalent amount. These balances have been reclassified in the March 31, 2011 comparative figures. The Company has determined that these amounts were not material to its consolidated financial statements.

Components of accounts receivable are as follows:

	As at March 31, 2012	As at March 31, 2011	As at December 31, 2011
Trade receivables	**$ 33,980**	$ 36,140	$ 40,032
Less: Allowance for doubtful accounts	**(2,016)**	(2,365)	(1,914)
Net trade receivables	**$ 31,964**	$ 33,775	$ 38,118
Other receivables	**15,706**	17,488	18,404
	$ 47,670	$ 51,263	$ 56,522

The aging of trade receivables is as follows:

	As at March 31, 2012	As at March 31, 2011	As at December 31, 2011
Current	**$ 33,258**	$ 33,717	$ 37,790
Past due 0-30 days	**117**	1,287	1,338
Past due 31-60 days	**115**	474	287
Past due 61-90 days	**104**	214	371
Past due > 90 days	**386**	448	246
	$ 33,980	$ 36,140	$ 40,032

The Company maintains an allowance for doubtful accounts that represents its estimate of uncollectible amounts. The components of this allowance include a provision related to specific losses estimated on individual exposures and a provision based on historical trends of collections.

5. INVENTORIES

	As at March 31, 2012	As at March 31, 2011	As at December 31, 2011
Raw materials	**$ 14,057**	$ 11,033	$ 14,347
Work in process	**57**	20	34
Finished goods	**17,480**	18,344	19,692
Packaging	**8,400**	7,773	9,160
Spare parts	**16,187**	14,937	16,815
	$ 56,181	$ 52,107	$ 60,048

During the three months ended March 31, 2012, inventory in the amount of $214.3 million (2011: $210.7 million) was expensed through cost of goods sold. There were no reversals of previous write-downs recognized.

6. EMPLOYEE BENEFITS

During the quarter, the Company recorded $3.1 million related to net benefit plan expense including post-retirement benefit costs (2011: $3.4 million).

7. GOODWILL

Cost	**March 31, 2012**	March 31, 2011
Opening balance	**$ 378,743**	$ 375,894
Foreign currency translation	**(709)**	(2,790)
Balance	**$ 378,034**	$ 373,104
Impairment losses		
Opening balance	**$ (112,730)**	$ (111,618)
Foreign currency translation	**(962)**	104
Balance	**$ (113,692)**	$ (111,514)
Carrying amounts	**$ 264,342**	$ 261,590

For the purposes of annual impairment testing, goodwill is allocated to the following groups of Cash Generating Units ("CGUs"), being the groups expected to benefit from the synergies of the business combinations in which the goodwill arose:

	As at March 31, 2012	As at March 31, 2011	As at December 31, 2011
CGU Groups			
Canadian fresh bakery	**$ 123,867**	$ 123,867	$ 123,867
North American frozen bakery	**138,450**	135,698	140,121
Fresh pasta	**2,025**	2,025	2,025
	$ 264,342	$ 261,590	$ 266,013

8. INTANGIBLE ASSETS

	As at March 31, 2012	As at March 31, 2011	As at December 31, 2011
Indefinite life	**$ 1,639**	$ 1,313	$ 1,350
Definite life	**11,175**	11,486	11,360
Total intangible assets	**$ 12,814**	$ 12,799	$ 12,710

Indefinite Life Intangibles

The following table summarizes the indefinite life intangible assets by CGU groups:

	As at March 31, 2012	As at March 31, 2011	As at December 31, 2011
CGU Groups			
Canadian fresh bakery	**$ 1,639**	$ 1,313	$ 1,350
North American frozen bakery	**–**	–	–
Fresh pasta	**–**	–	–
	$ 1,639	$ 1,313	$ 1,350

9. PROVISIONS

	Legal	**Environ-mental**	**Lease make-good**	**Restructuring and other related costs[(i)]**	**Total**
Balance at December 31, 2011[(ii)]	**$ 119**	**$ 1,495**	**$ 3,510**	**$ 22,947**	**$ 28,071**
Charges	**81**	**–**	**–**	**5,884**	**5,965**
Cash payments	**(31)**	**–**	**–**	**(10,234)**	**(10,265)**
Non-cash items	**–**	**–**	**43**	**(4,628)**	**(4,585)**
Balance at March 31, 2012	**$ 169**	**$ 1,495**	**$ 3,553**	**$ 13,969**	**$ 19,186**
Current					**$ 14,140**
Non-current					**5,046**
Total at March 31, 2012					**$ 19,186**

	Legal	**Environ-mental**	**Lease make-good**	**Restructuring and other related costs[(i)]**	**Total**
Balance at December 31, 2010	$ –	$ 1,495	$ 4,745	$ 13,068	$ 19,308
Charges	119	–	–	20,050	20,169
Cash payment	–	–	–	(1,664)	(1,664)
Non-cash items	–	–	(5)	(11,138)	(11,143)
Balance at March 31, 2011	$ 119	$ 1,495	$ 4,740	$ 20,316	$ 26,670
Current					$ 20,435
Non-current					6,235
Total at March 31, 2011					$ 26,670

(i) For additional information on restructuring and other related costs, see the table below.

(ii) Balance at December 31, 2011 includes current portion of $23.1 million and non-current portion of $5.0 million.

Restructuring and Other Related Costs

During the three months ended March 31, 2012, the Company recorded restructuring and other related costs of $5.9 million ($4.6 million after-tax). Of this pre-tax amount, $3.7 million related to accelerated depreciation and other costs in connection with the Frozen Bakery's closure of the Walsall, U.K. location.

The Fresh Bakery also incurred $2.0 million related to the closures of two bakeries in Toronto, Ontario and a third in Delta, British Columbia. The balance of restructuring costs was incurred in connection with other ongoing restructuring initiatives.

During the first quarter of 2011, the Company recorded restructuring and other related costs of $20.1 million ($15.1 million after-tax). Of this pre-tax amount, $11.2 million related to asset write-downs and $2.9 million related to severances, in connection with the sale or closures of facilities in Laval, Quebec, Delta, British Columbia, Cumbria, U.K. as well as the sale of the sandwich product line. The Company also recorded $5.8 million in severance costs for initiatives related to organizational changes.

The following table provides a summary of costs recognized and cash payments made in respect of the above-mentioned restructuring and other related costs as at March 31, 2012 and March 31, 2011, all on a pre-tax basis:

	Severance	Site closing and other cash costs	Asset impairment and accelerated depreciation	Retention	Total
Balance at December 31, 2011	**$ 14,975**	**$ 6,776**	**$ –**	**$ 1,196**	**$ 22,947**
Charges	**127**	**1,094**	**4,628**	**35**	**5,884**
Cash payments	**(8,706)**	**(1,151)**	**–**	**(377)**	**(10,234)**
Non-cash items	**144**	**(144)**	**(4,628)**	**–**	**(4,628)**
Balance at March 31, 2012	**$ 6,540**	**$ 6,575**	**$ –**	**$ 854**	**$ 13,969**

	Severance	Site closing and other cash costs	Asset impairment and accelerated depreciation	Retention	Total
Balance at December 31, 2010	$ 11,228	$ 1,456	$ –	$ 384	$ 13,068
Charges	8,701	49	11,138	162	20,050
Cash payments	(1,652)	(12)	–	–	(1,664)
Non-cash items	–	–	(11,138)	–	(11,138)
Balance at March 31, 2011	$ 18,277	$ 1,493	$ –	$ 546	$ 20,316

Impairment

During the three months ended March 31, 2012 the Company recorded $0.1 million (2011: $7.1 million) of impairment on fixed assets through restructuring. No reversals of impairments were recognized during the quarter.

10. CAPITAL AND OTHER COMPONENTS OF EQUITY

Accumulated Other Comprehensive Loss

	Foreign currency translation adjustments	Unrealized gain (loss) on cash flow hedges	Change in actuarial gains and losses	Total accumulated other comprehensive loss
Balance at December 31, 2011	**$ (10,743)**	**$ 528**	**$ –**	**$ (10,215)**
Other comprehensive loss	**(2,298)**	**(700)**	**(1,300)**	**(4,298)**
Transfer to retained earnings	**–**	**–**	**1,300**	**1,300**
Balance at March 31, 2012	**$ (13,041)**	**$ (172)**	**$ –**	**$ (13,213)**

	Foreign currency translation adjustments	Unrealized gain (loss) on cash flow hedges	Change in actuarial gains and losses	Total accumulated other comprehensive loss
Balance at December 31, 2010	$ (14,050)	$ (46)	$ –	$ (14,096)
Other comprehensive loss	(5,490)	(1,105)	–	(6,595)
Balance at March 31, 2011	$ (19,540)	$ (1,151)	$ –	$ (20,691)

The change in accumulated foreign currency translation adjustments includes tax of $nil for the quarter ended March 31, 2012 (2011: $nil).

The change in unrealized loss on cash flow hedges includes tax of $0.3 million for the quarter ended March 31, 2012 (2011: $0.4 million).

The change in actuarial gains and losses includes tax of $0.5 million for the quarter ended March 31, 2012 (2011: $nil).

The Company estimates that $0.2 million of the unrealized loss included in accumulated other comprehensive loss will be reclassified into net earnings within the next 12 months. The actual amount of this reclassification will be impacted by future changes in the fair value of financial instruments designated as cash flow hedges and the actual amount reclassified could differ from this estimated amount. During the quarter ended March 31, 2012, a gain of $0.5 million net-of-tax was released to earnings from accumulated other comprehensive loss and is included in the net change for the period (2011: $nil).

11. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT ACTIVITIES

The Company is exposed to credit risk, liquidity risk, foreign exchange risk and commodity price risk. The Company has policies for managing these risks that are aligned with its overall objective to maintain a simple cost-effective capital structure that supports a long-term growth strategy and maximizes operating flexibility. There have been no material changes to the Company's risk and risk management activities since December 31, 2011.

Notes to the Condensed Consolidated Interim Financial Statements

Financial Instruments

The Company's financial assets and liabilities are classified into the following categories:

Cash and cash equivalents	Held-for-trading
Accounts receivable	Loans and receivables
Notes receivable	Loans and receivables
Bank indebtedness	Other financial liabilities
Accounts payable and accrued liabilities	Other financial liabilities
Due to Maple Leaf Foods	Other financial liabilities
Dividends payable	Other financial liabilities
Long-term debt	Other financial liabilities
Derivative instruments[(i)]	Held-for-trading

(i) These derivative instruments may be designated as cash flow hedges as appropriate.

The Company applies hedge accounting and uses derivatives and other non-derivative financial instruments to manage its exposures to fluctuations in foreign exchange rates and commodity prices.

The fair values and notional amounts of derivative financial instruments at March 31 are shown below:

	2012			2011		
	Notional	**Fair value**		Notional	Fair value	
	amount[(i)]	**Asset**	**Liability**	amount[(i)]	Asset	Liability
Cash flow hedges						
Foreign exchange forward contracts	**$ 31,613**	**$ –**	**$ 248**	$ 64,144	$ –	$ 1,501
Derivatives not designated in a formal hedging relationship						
Foreign exchange forward contracts	**$ 15,264**	**$ 14**	**$ –**	$ 51,221	$ –	$ 1,188
Commodity futures contracts	–	–	–	24,103	–	76
Total fair value		**$ 14**	**$ 248**		$ –	$ 2,765
Current		**$ 14**	**$ 248**		$ –	$ 2,321
Non-current		–	–		–	444
Total fair value		**$ 14**	**$ 248**		$ –	$ 2,765

(i) Notional amounts are stated at the contractual Canadian dollar equivalent.

The fair value of financial assets classified as loans and receivables and other financial liabilities (excluding long-term debt) approximate their carrying value due to their short-term nature.

The carrying value of long-term debt as at March 31, 2012 was $4.1 million (March 31, 2011: $4.0 million; December 31, 2012: $4.1 million), which approximates the fair value.

Financial assets and liabilities classified as held-for-trading are recorded at fair value. The fair values of the Company's foreign exchange derivative financial instruments were estimated using current market measures for foreign exchange rates. Commodity futures and options contracts are exchange-traded and fair value is determined based on exchange prices.

Derivatives not designated in a formal hedging relationship are classified as held-for-trading. Net gains (losses) on financial instruments held-for-trading consist of realized and unrealized gains (losses) on derivatives that were de-designated or were otherwise not in a formal hedging relationship. During the quarter, the Company recorded $nil (2011: after-tax loss of $0.2 million) on financial instruments held-for-trading.

For the quarters ended March 31, 2012 and 2011, the amount of hedge ineffectiveness recognized in earnings was not material.

Fair Value Hierarchy

Assets and liabilities carried at fair value must be classified using a three-level hierarchy that reflects the significance and transparency of the inputs used in making the fair value measurements. Each level is based on the following:

- Level 1 – inputs are unadjusted quoted prices of identical instruments in active markets.
- Level 2 – inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly or indirectly.
- Level 3 – one or more significant inputs used in a valuation technique are unobservable in determining fair values of the instruments.

Determination of fair value and the resulting hierarchy requires the use of observable market data whenever available. The classification of a financial instrument in the hierarchy is based upon the lowest level of input that is significant to the measurement of fair value.

The table below sets out fair value measurements of financial instruments using the fair value hierarchy:

	Level 1	Level 2	Level 3	Total
Assets:				
Foreign exchange forward contracts	$ –	$ 14	$ –	$ 14
Total	**$ –**	**$ 14**	**$ –**	**$ 14**
Liabilities:				
Foreign exchange forward contracts	$ –	$ 248	$ –	$ 248
Total	**$ –**	**$ 248**	**$ –**	**$ 248**

There were no transfers between levels during the quarter ended March 31, 2012.

12. OTHER INCOME

	Three months ended March 31,	
	2012	2011
Gain (loss) on sale of property and equipment	**$ 231**	$ (5)
Other	**(209)**	83
	$ 22	$ 78

13. INTEREST EXPENSE

	Three months ended March 31,	
	2012	2011
Interest expense on securitized receivables	**$ 242**	$ 287
Deferred finance charge	**58**	55
Interest expense on long-term debt	**40**	114
Other interest charges (income)	**97**	(3)
Interest capitalized	**–**	(114)
	$ 437	$ 339

14. RELATED PARTY TRANSACTIONS

Services provided to the Company by Maple Leaf under the terms of a management services agreement include, but are not limited to, treasury and cash management, taxation, internal audit, accounting, external financial reporting, investor relations, public relations, corporate secretarial, legal, insurance, human resources and computer systems support. In addition, Maple Leaf provides senior management time for operating involvement. Fees paid by the Company for these services are based on the actual cost of providing such services and are allocated based on either activity drivers, or where not practicable to isolate such drivers, the proportion of assets employed to the total assets in the business unit, which is consistent with the allocation of such costs to other business units of Maple Leaf.

Fees paid to Maple Leaf in the first quarter of 2012 for these services were $12.4 million (2011: $13.8 million). At March 31, 2012, the total outstanding balance payable to Maple Leaf was $3.7 million (March 31, 2011: $1.0 million; December 31, 2011: $2.5 million).

The Company has a $250.0 million revolving debt facility with Maple Leaf to provide liquidity for general corporate purposes, repayable on June 30, 2012.

McCain Foods Limited was partly owned by McCain Capital Corporation ("MCC"), which was a 31.3% shareholder of the Company's parent company until December 2, 2011. On December 2, 2011, MCC reorganized its shareholdings such that it is no longer a related party of the Company. As a result of this, the Company is no longer a related party with McCain Foods Limited and its subsidiaries.

Day & Ross Transportation Group, a subsidiary of McCain Foods Limited, was a related party to the Company until December 2, 2011. For the quarter ended March 31, 2011, during which Day & Ross Transportation Group was a related party, the Company received services from Day & Ross Transportation Group of $0.6 million in the normal course of business and at market prices. Trade payables to Day & Ross Transportation Group as at March 31, 2011 were $0.2 million.

The Company sponsors a number of defined benefit and defined contribution plans. The Company's contributions to these plans were $3.0 million in the first quarter of 2012 (2011: $2.7 million).

15. SEGMENTED FINANCIAL INFORMATION

Reportable Segmented Information

The Company has two reportable segments, as described below, which are groupings of the Company's CGUs. These segments offer different products, have separate management structures, and have their own marketing strategies and brands. The Company's Management regularly reviews internal reports for these segments. The following describes the operations of each segment:

(a) Fresh Bakery comprises fresh bakery products; sweet goods; specialty fresh pasta and sauces.

(b) Frozen Bakery includes North American and U.K. frozen bakery products including frozen par-baked and specialty bakery products.

Non-allocated assets comprises corporate assets not separately identifiable to business segment groups. These include, but are not limited to, corporate property, plant and equipment, investment properties, and tax balances.

	Three months ended March 31,	
	2012	2011
Sales		
Fresh Bakery	**$ 248,183**	$ 255,085
Frozen Bakery	**122,061**	116,675
	$ 370,244	$ 371,760
Earnings (loss) before restructuring and other related costs and other income		
Fresh Bakery	**$ 7,268**	$ 17,985
Frozen Bakery	**1,493**	(1,261)
	$ 8,761	$ 16,724
Capital expenditures		
Fresh Bakery	**$ 9,194**	$ 26,458
Frozen Bakery	**1,463**	3,400
	$ 10,657	$ 29,858
Depreciation and amortization		
Fresh Bakery	**$ 7,057**	$ 6,635
Frozen Bakery	**4,292**	5,572
	$ 11,349	$ 12,207

	As at March 31, 2012	As at March 31, 2011	As at December 31, 2011
Total assets			
Fresh Bakery	**$ 513,106**	$ 466,086	$ 516,485
Frozen Bakery	**353,533**	354,540	368,534
Non-allocated assets	**65,487**	79,276	79,456
	$ 932,126	$ 899,902	$ 964,475
Goodwill			
Fresh Bakery	**$ 125,892**	$ 125,892	$ 125,892
Frozen Bakery	**138,450**	135,698	140,121
	$ 264,342	$ 261,590	$ 266,013

Information about Geographic Areas

Property, equipment and investment property located outside of Canada was $99.2 million (2011: $114.0 million). Of this amount, $62.0 million (2011: $67.5 million) was located in the U.S. and $37.2 million (2011: $46.5 million) was located in the U.K.

Goodwill attributed to operations located outside of Canada was $85.0 million (2011: $82.2 million), which is all attributed to operations in the U.S.

Revenues earned outside of Canada were $91.2 million (2011: $92.0 million). Of this amount $56.1 million (2011: $52.1 million) was earned in the U.S., $34.2 million (2011: $38.3 million) was earned in the U.K. Revenue by geographic area is determined based on the shipping location.

Information about Major Customers

During the quarter, the Company reported sales to two customers, each representing greater than 10%. Sales to one customer represented 17.9% (2011: 17.6%) of total sales, while sales to the second customer represented 12.4% (2011: 12.2%) of total sales. These revenues were reported in both the Fresh Bakery and Frozen Bakery segments. No other sales were made to any one customer that represented in excess of 10% of total sales.



CANADA BREAD COMPANY, LIMITED

10 FOUR SEASONS PLACE
ETOBICOKE, ONTARIO M9B 6H7
www.canadabread.ca

FSC
www.fsc.org
MIX
Paper from responsible sources
FSC® C101537

PRINTED IN CANADA